

Legion – First Line of Defense Research Report

0) Snapshot Header:

- **Project Name:** Legion (legion.cc)
- **What it claims to be:** *"The compliant, merit-based fundraising platform bringing back the best of ICOs while solving their biggest challenges."* ¹
- **Primary surfaces:** Official website and web app (legion.cc), GitBook documentation ² ³, X (Twitter: @legiondotcc), Discord (invite: discord.gg/legiondotcc), GitHub (organization: Legion-Team).
- **Last checked:** January 16, 2026 (Asia/Singapore TZ)
- **Analyst constraints:** No paywalls encountered. Twitter content required alternative access due to login restrictions; otherwise, all information was gathered from public sources.

1) Primary Claims (verbatim from official sources) + Source + Date + Context

- **Equal-access fundraising:** *"Legion exists for a singular purpose: to provide equal opportunity access to on-chain fundraising for new crypto projects."* ⁴ (Press release, Aug 27 2024 – outlining Legion's mission in the seed funding announcement)
- **Reputation & accountability layer:** *"It achieves this mission with its investor reputation and accountability layer, as well as by providing regulatory clarity offered by the latest regulations."* ⁴ (Press release, Aug 2024 – emphasizes Legion's two key features: reputation system and regulatory compliance)
- **Merit-based, not fastest:** *"One core differentiating aspect of Legion is its merit-based access; rather than who can invest the fastest, access is typically aligned based on what value someone can bring to a project."* ⁵ (Official docs, ~Feb 2025 – explains Legion's philosophy of prioritizing value-add investors over speed)
- **Legion Score (reputation) system:** *"At the heart of the Legion platform lies the Legion Score: an on- and off-chain reputation system, which gives potential purchasers the opportunity to provably demonstrate how they [...] add value."* ⁶ (Whitepaper v1.1, Oct 2024 – introduces Legion's credibility scoring concept)
- **Regulatory compliance (MiCA):** *"Legion plans to become one of the first MiCA-compliant CASPs and bring access to early fundraising and token offerings to non-accredited investors."* ⁷ (Press release, Aug 2024 – positioning Legion as an EU-regulated Crypto-Asset Service Provider under MiCA to include retail)

2) Evidence Map

Product existence: - Legion Web Platform (app): The Legion web app is live at **legion.cc**, prompting users to **"Connect all your favorite accounts to generate your Legion Score"** and offering login via

Google or X ⁸. This indicates an operational platform with a user dashboard for reputation. *Verification:* (site accessible; user onboarding flow visible).

- *Token Sale Events:* Legion has facilitated multiple token sales on its platform. For example, the SportFun token sale (late 2025) was “**338% oversubscribed, with \$10M+ deposited across Kraken and Legion [and] 4.6K+ unique buyers**” ⁹, and applications underwent review before allocations were finalized. Another sale (YieldBasis, Sep 2025) saw **~60,000 addresses apply with ~\$195M USDC deposited (oversubscribed ~98x)** ¹⁰ ¹¹. *Verification:* (official updates and third-party news confirm large-scale sales conducted on Legion).

Usage data & traction: - *User base & demand:* Legion's first major sale (YieldBasis, 2025) had over **67K applicants and \$195M in deposits** ¹¹ for a ~\$5M allocation – evidencing huge retail demand (78–98x oversubscription). Another public sale on the “Legion Prime” track drew 4,600+ buyers ⁹. Legion's social following (100K+ on X as of late 2025) further indicates community traction ¹². *Verification:* (high-confidence stats reported by Legion and partners).

- *Integrations & partnerships:* In Sept 2025, **Kraken exchange partnered** with Legion to host token sales jointly, bringing Legion's model to “**millions of Kraken clients worldwide**” ¹³ ¹⁴. Up to 20% of each sale's allocation is reserved for Legion Score holders on Legion, with the remainder open via Kraken Launch ¹⁵. *Verification:* (press release from Kraken/Legion confirms integration and shared launches).

Team existence & entity: - *Founders:* Legion was co-founded by **Fabrizio Giabardo** and **Matt O'Connor**, both veterans of crypto/finance (worked on top-50 market cap projects like Stacks) ¹⁶ ¹⁷. They are publicly identified in interviews and press, e.g., O'Connor and Giabardo are quoted extensively in Legion's announcements ¹⁸ ¹⁹. *Verification:* (multiple credible sources name the founders).

- *Legal entity:* Legion is incorporated in the British Virgin Islands (Road Town, Tortola) ²⁰. The company lists <10 employees on LinkedIn and positions itself as “*Privately Held*”, indicating a formal entity behind the platform ²¹. *Verification:* (official LinkedIn company profile).

- *Investors & affiliations:* Legion's **\$2M seed round (Aug 2024)** was led by Cyber Fund with participants like AllianceDAO, Delphi Labs, CoinGecko, and notable angels ²². A subsequent **\$5M seed extension (Aug 2025)** brought in **VanEck, Brevan Howard Digital, Coinbase Ventures, Crypto.com Capital, and Kraken** ²³ – demonstrating high-conviction backing from traditional and crypto investors. Kraken's venture arm not only invested but later became a strategic partner ¹⁴. *Verification:* (press releases and reputable crypto media confirm funding and investor roster).

- *Advisors & partners:* Industry figures have endorsed Legion's model. For instance, **Konstantin Lomashuk** (ex-Lido cofounder, Cyber Fund) stated that balancing retail and VC investors via Legion is “*crucial for the right community*” ²⁴. Additionally, **regulatory advisors** are implied by Legion's pursuit of MiCA compliance (e.g., O'Connor engaged with the SEC on disclosure standards ²⁵). *Verification:* (quotes in press; evidence of regulatory alignment efforts).

(*Verification status legend:* Verified (direct evidence found); ● Partially Verified (some evidence, but incomplete); ? Not verified in sources.)

3) Core Credibility Model

Identity layer (unique identity, Sybil resistance): Fact – Legion requires each user to complete a **KYC (Know Your Customer) identity verification** and proof-of-address before participating ²⁶. This ensures every participant is a real, unique individual (no anonymous wallets or duplicate identities). The whitepaper explicitly notes that KYC during Legion Score generation “**ensures that each participant on the Legion platform is unique**” (eliminating bots/Sybil accounts) ²⁷. This strong identity layer is reinforced by Legion's intent to operate as a regulated platform (pursuing EU **MiCA** licensing as a CASP) ⁷, meaning compliance-grade ID checks and AML are in place. **Evidence** – Verified KYC gating in docs

and regulatory filings ²⁶ ²⁷. **Unknown** – The specifics of Legion's KYC provider and data handling are not disclosed. It's unclear **how personal data is stored or protected**, and whether any decentralized ID tech is used or if it's a standard centralized KYC database. Also, while KYC stops basic Sybil attacks, **determined attackers** might still attempt to bypass it (e.g. using fake or purchased identities) – Legion's policies against such abuse are not detailed publicly.

Reputation scoring model (inputs, scoring, explainability): Fact – Legion's core is the **Legion Score**, a numeric reputation score (0–1000) that aggregates a user's on-chain and off-chain credibility ²⁸. The score comprises **five subcomponents** ²⁸ ²⁹: (1) **Social "Clout" Score** – measures social media influence in an *"abuse-resistant"* way (not just follower count) ²⁹; (2) **Dev Score** – reflects GitHub/code contribution activity (again not simply volume of commits) ³⁰; (3) **Chain Score** – measures organic on-chain activity (usage of DeFi, etc.) in a wealth-agnostic manner ³¹; (4) **Interaction Score** – tracks how the user interacts with projects and other funders on Legion (e.g. engagement, helpfulness) ³²; (5) **Endorsement/Investor Rating** – feedback from project teams on the user's contributions: teams can *"privately leave bad ratings for purchasers who promised to help but didn't,"* affecting this score component ³³. Legion's whitepaper indicates the scoring algorithm draws on principles of the **EigenTrust** reputation algorithm for robustness against collusion ³⁴. For example, a cluster of new users trying to inflate each other's ratings would confer little trust without established reputations linking them. **Evidence** – The composition and intent of Legion Score are documented in the whitepaper ³⁵ ³⁶ and GitBook docs ³⁷. **Unknown** – The **exact weighting and formula** for Legion Score is deliberately kept secret *"to prevent abuse"* ³⁸. This opacity means users cannot fully verify how each input translates to their score, which raises transparency concerns. It's also unknown how **portable** the Legion Score is outside the platform – currently it's used within Legion's ecosystem (and envisioned to be useful potentially in other contexts ³⁹), but there's no evidence of external integrations yet. The **explainability** of individual scores is limited; while Legion recently enabled users to see category breakdowns in their dashboard (Social/Dev/On-chain/Value-Add) ⁴⁰, the proprietary algorithm means users must trust Legion's internal calculations.

Attestation layer (who attests to credibility, reversibility, disputes): Fact – Legion's reputation model combines **self-attested data** (users link their own accounts), **automated data** (on-chain activity, social stats), and **third-party attestations**. Key attestations come from **project teams**: after a fundraising event, project founders or their community managers can rate each purchaser's contribution (e.g., did the user provide promised support, or just flip tokens?) ³³. Positive contributions presumably maintain or improve one's Legion Score, while reneging on commitments leads to a lowered score (this is the *"accountability"* mechanism) ⁴¹. These team attestations are **private and cannot be directly overridden by the user**, meaning the score impact is effectively non-reversible by the user alone. Legion also leverages **public social proof** (followers, connections) as a form of attestation to a user's identity and standing ⁴². **Evidence** – Whitepaper and docs detail that teams provide confidential feedback ratings that feed into the Endorsement/Investor Rating component ³³, and emphasize that a user's *"social graph outside the platform"* is a form of collateral they put up ⁴². **Unknown – Dispute resolution**: It's not stated how a user can contest an unfair negative rating from a project or errors in their score. Since project ratings are private, users might not even know which action led to a score drop. There is no mention of an appeals process or governance mechanism to adjust scores – this is a black box controlled by Legion's algorithms. It's also unknown what safeguards exist to ensure projects rate users fairly (e.g., a malicious project could theoretically down-rate an investor out of spite; Legion hasn't disclosed checks against that). **Reversibility**: Other than improving future behavior (which gradually raises one's score), there's no known way to erase a bad mark – scores are *"living, evolving numbers"* intended to reflect long-term behavior ⁴¹. This raises the question of **forgiveness or time-decay** of negative reputation: the documents don't specify if, say, an old *"bad rating"* eventually ages out or is outweighed by recent good behavior.

Enforcement model (credibility incentives, rewards/penalties): Fact – Legion explicitly uses the reputation score to **enforce incentives** in fundraising. High-credibility (high-scoring) users get **preferred access**: projects can “*narrow in on specific types of users*” using Legion Scores ⁴³ and even weight token allocations toward those who best fit their desired profile ⁴⁴. For example, a project can allocate larger token amounts or guaranteed slots to top-ranked developers or community leaders relevant to their domain ⁴⁴. In practice, Legion allows tiered participation: users with higher scores often receive earlier or larger allotments in sales (e.g., **Legion reserved up to 20% of a sale for high-score users** in the Kraken-partnered sales ¹⁵). Conversely, low credibility or poor behavior yields **penalties**: Legion’s system will “*slash the reputation of short-term actors*” who behave in value-extractive ways (like instant token dumping) ¹⁹. This means such users will have a harder time qualifying for future deals (a deterrent against pump-and-dump participation). Post-sale, if a user doesn’t fulfill promises (e.g., providing community help or holding tokens long enough), their Endorsement score drops ³³, which **enforces accountability** by reducing their chances in subsequent opportunities. **Evidence** – Co-founder statements and docs confirm this meritocratic gating: “*If every user had a high Legion Score, that would defeat the purpose... any user can have a high score – but they must hustle, grind, and prove themselves*” ⁴⁵, implying only those who continually add value maintain top access. Also, “*purchasers who promised to help but didn’t*” get bad ratings lowering their score ³³. **Unknown** – The exact **thresholds and mechanics** of enforcement are not published. It’s unclear how much of an allocation boost a high score yields (aside from anecdotal 20% reserve in Kraken’s model ¹⁵) or how quickly a score can drop from undesirable actions. It’s also unknown whether Legion imposes any **hard penalties** beyond score reduction – for example, do egregious actors ever get blacklisted entirely from the platform, or is everything handled via soft power (score)? The **enforcement on project side** is also unclear: Legion does vet projects (see below), but if a project misuses funds or fails to deliver, the platform’s recourse might be limited to not working with them again; there’s no on-chain mechanism to penalize projects aside from the transparency provided to investors.

Data model (data storage, privacy, and architecture): Fact – Legion operates with a hybrid on-chain/off-chain model. **On-chain**: Actual fundraises (token sale contracts) are executed via smart contracts on EVM chains (Ethereum mainnet, Arbitrum, etc.), which handle the escrow of funds and distribution of tokens ⁴⁶ ⁴⁷. Legion’s contracts use an upgradeable **clone factory** pattern (EIP-1167 proxies) to deploy sale contracts, and use Merkle proofs + signatures to manage whitelists and eligibility off-chain ⁴⁶ ⁴⁸. **Off-chain**: The Legion Score computation and user profile data are handled off-chain in Legion’s backend. The platform collects data from linked accounts (e.g. reading one’s GitHub contributions, Twitter followers, on-chain history via API) and runs its proprietary scoring algorithm on this data internally ³⁸. KYC personal data is also stored off-chain (likely on Legion’s servers or a third-party compliance provider) – none of that is on the public blockchain. The **Legion Address Registry** contract links user wallets to an off-chain verified identity (to enforce one-human-one-account) ⁴⁹ ⁵⁰, but the sensitive details (name, documents) aren’t on-chain. Privacy-wise, Legion claims to leverage only public info for scoring (social profiles, etc.), but because of KYC, it inherently collects private info (IDs, addresses). The **privacy model** appears conventional: users trust Legion with personal data under its privacy policy (which offers data access/modification rights via contact email ⁵¹). **Evidence** – Legion’s technical documentation acknowledges an off-chain backend “*for [...] complex operations not feasible on-chain*”, introducing a dependency on centralized processing ⁵². The GitBook outlines deployed contract addresses and shows they are verified on Etherscan ⁴⁹ ⁵³, confirming the on-chain part. **Unknown** – Many privacy and data questions remain unanswered publicly. It’s unknown **how long KYC data is retained**, how it’s protected (encryption, etc.), and whether Legion might integrate decentralized identity solutions in the future. The **Legion Score data** itself is not published on-chain or as a portable credential – it’s visible to the user via the app and to project admins via Legion’s interface, but not to the general public or other platforms at this time. The lack of an on-chain credential for the score means **portability is limited** (no easy way to prove one’s Legion reputation outside Legion’s platform). It’s also not clear if users can opt out of certain data uses or if all activity (even off-platform contributions) are

continuously monitored once linked. Finally, **data security** is a concern: no breaches are known, but other KYC providers (e.g. Fractal ID) have suffered breaches ⁵⁴ – how Legion mitigates such risks isn't stated.

Project vetting and disclosures (additional aspect of credibility model): *Fact* – Though not explicitly asked in the prompt, a crucial part of Legion's credibility framework is vetting the **projects** raising funds. Legion positions itself as a quality filter for projects, requiring “*extensive due diligence and compliance screenings*” and **MiCA-compliant whitepapers** for each offering ⁵⁵ ⁵⁶. They claim “*Wall Street-grade transparency: No hidden round allocations, no insider deals*” ⁵⁶ – meaning projects must disclose tokenomics, risks, and any prior funding rounds to the community, akin to IPO prospectuses. This is designed to build credibility that the projects themselves are not scams and will be accountable to investors post-raise. **Evidence** – Press materials for the Kraken partnership highlight these requirements ⁵⁷ ⁵⁶. **Unknown** – The exact vetting process (criteria, who performs it, how legal compliance is ensured across jurisdictions) is not fully detailed. It's also not known what enforcement mechanisms exist if a project, after raising funds, fails to follow through on promises – aside from reputational damage and potential legal liability under securities law, which would be outside Legion's direct control.

4) Attack Surface – First Defense Assessment

- **Sybil attacks (multiple fake identities):** *Threat* – An attacker could try to create numerous accounts to game token sales (e.g., to get around individual caps or increase odds in lotteries). *Defense* – Legion's mandatory KYC for all users is the primary mitigation, effectively raising the cost of Sybil attacks (one would need many unique, verifiable human identities – not just throwaway wallets) ²⁷. Additionally, Legion Scores heavily rely on enduring social and on-chain history, which is not trivial to fake at scale; a bot network with no real social accounts or organic activity would score poorly and be filtered out ⁵⁸ ⁵⁹. *Evidence* – Legion explicitly states “*all participants must submit KYC documentation*” to ensure uniqueness ²⁷, and that the reputation system “*filters out [...] sybils*” for high-quality participation ⁶⁰ ⁶¹. *Unknowns* – It's not foolproof: a determined adversary might recruit real individuals (identity lending) or obtain fraudulent but convincing documents to create Sybil accounts. Legion hasn't disclosed the depth of its KYC (e.g., are biometric or liveness checks used, or just document upload?). There's also the question of **enforcement if a Sybil is detected** – presumably that account (and related ones) would be banned, but no public incident reports yet. *Required proofs* – Assurance here would come from **KYC provider audits** (to show strong identity verification) or statistics like “*X fraudulent signups prevented*”, which Legion has not published. Independent verification is tricky due to privacy, so trust relies on the robustness of their KYC process.

- **Collusion and reputation gaming:** *Threat* – Users might collude to inflate their scores or gain unfair advantage (e.g., a group of users all liking/following each other's social profiles, or sham projects giving each other positive endorsements). *Defense* – Legion's use of **EigenTrust-inspired scoring** is intended to dampen simple collusion ³⁴. In EigenTrust, if a set of newcomers only interact with each other and not with already trusted users, their trust within the clique doesn't carry weight globally. Similarly, Legion's algorithm likely requires that endorsements and social connections have their own credibility – fake engagements from low-credibility sources won't boost one's score much. The multi-faceted nature of the score (social, dev, on-chain, etc.) also means a coordinated attack would need to fake strength in all areas, which is harder. *Evidence* – The whitepaper notes each subcomponent was designed with abuse-resistance in mind (e.g., “*More followers do not necessarily mean a higher score*” ²⁹) and explicitly cites the EigenTrust algorithm for reputation ³⁴. *Unknowns* – **Collusion by projects** is a concern not directly addressed: e.g., a malicious project could “endorse” friends with high ratings in exchange for

side deals. Legion being the platform operator can observe unusual patterns, but we don't know if they have an internal system to nullify suspect endorsements. Also, if a user somehow *does* inflate their score (say by buying a high-follow social media account or plagiarizing GitHub contributions), it's not clear how quickly the system or team would catch on. *Required proofs* – Over time, publishing some **statistics or case studies** of detected manipulation (and how it was handled) would bolster confidence. A third-party audit of the reputation model (even without revealing the algorithm, an auditor could confirm it resists basic collusion scenarios) would also help, but none has been shared publicly.

- **Short-term behavior and token dumping:** *Threat* – The very issues Legion aims to solve – investors dumping tokens immediately or failing to contribute to projects – are potential attack vectors by profit-motivated actors. A user might attempt to appear value-adding to get into a sale, then sell out or disappear, essentially extracting value contrary to Legion's ethos. *Defense* – Legion's **accountability layer** penalizes this. If a purchaser dumps their allocation immediately (within whatever thresholds the project/Legion set), their Legion Score will decrease, as their on-chain behavior and project feedback will reflect short-termism ⁶² ¹⁹. The design incentivizes holding and active participation: for example, some sales might have *vesting periods or refund options* that reward those who stay till the end, and Legion's smart contracts include vesting functionality ⁶³. Projects can also require commitments (like contributing to community or testing product) – failure to follow through means a bad review from the team, impacting one's score ³³. *Evidence* – Fabrizio (co-founder) stated Legion “slashes the reputation of short-term actors” and “aligns everyone to act long-term.” ¹⁹. The platform also touts that reputation “declines [...] for those who [...] fail to uphold commitments”, making it harder for flippers to get into future deals ⁶². *Unknowns* – The exact *metrics* used to detect dumping aren't public. Does selling 100% of tokens on day 1 trigger a score slash? 50%? And is there a grace period? Without knowing, sophisticated actors might try to game timing or split wallets to evade detection. Additionally, if market conditions turn and an investor must sell for legitimate reasons, the system might not distinguish this nuance – a possible false positive penalty. *Required proofs* – A clearer **policy on post-sale behavior** would instill confidence (e.g., stating that dumping within X days yields Y score drop). Also, on-chain data analysis by independent parties could verify if Legion sale participants indeed hold longer or contribute more than typical ICO participants – this would validate the enforcement model's effectiveness.
- **Centralization & privileged access:** *Threat* – The Legion platform itself could be a single point of failure or abuse. As a mostly centralized coordination layer (with off-chain logic and an admin key controlling some contract functions ⁶⁴), there is a risk of insider manipulation or technical failure. For instance, the *Legion team could theoretically adjust scores, override allocation decisions, or pause/cancel sales*, and a compromised admin wallet (the “**AWS Broadcaster**” key that has the BROADCASTER role in contracts ⁶⁴) could be used maliciously. *Defense* – Legion mitigates some concerns by **transparency and process**: sale mechanisms (fixed-price, auctions, etc.) are predefined in smart contracts ⁴⁶, and final allocation results are communicated to users (via email and presumably in-app) in a documented process ¹¹. The use of smart contracts for fund handling means the team cannot directly seize funds – withdrawals by project or refunds to users are encoded in the contract logic (though the team's Broadcaster role likely coordinates these actions). Additionally, Legion underwent multiple **security audits** (Trail of Bits, TestMachine, Zenith) ⁶⁵ and a public bug bounty to ensure the contracts and systems have no obvious backdoors. *Evidence* – The GitBook details that Legion's admin functions are mediated by a contract (LegionBouncer) and a controlled key, indicating the team does have special access but in a defined scope ⁶⁴. Audits (Aug 2024 and onwards) by reputable firms ⁶⁵ suggest the core contracts were vetted for vulnerabilities. *Unknowns* – **Central decision-making:** It's not fully known how much discretion the team has in, say, selecting which users get into an

oversubscribed sale. Legion has implied it's algorithm-driven, but final approval might involve a manual step (the mention of "applications are under review" ⁶⁶ hints at some human or off-chain process). This introduces potential for favoritism or error – yet there's no published governance or third-party oversight of that process. Also, while Legion's **business operations** are centralized, there's no info on continuity planning: if Legion (the company) ceased operations, what happens to ongoing token vestings or user scores? The reliance on a central backend is a risk if the service is interrupted. *Required proofs* – To address this, Legion could **publish on-chain proofs** of fairness (for example, a merkle root of selected winners for a sale, so users can verify inclusion off-chain, or commit hashes of the selection algorithm output for transparency). Moreover, time-locking admin functions or using multi-sig control for the Broadcaster address would reduce single-key risk – the extent of such measures is not public. Regular **security assessments** of the platform's backend and annual re-audits of contracts would also bolster trust in the face of centralization risk.

- **User data exposure (doxx risk):** *Threat* – Because Legion links real-world identity and on-platform activity, a breach or misuse of data could “doxx” users – revealing their investments and online personas tied to their legal identity. There's also a risk that if Legion's data practices are lax, sensitive info (IDs, addresses) could leak or be abused (as happened in other KYC-focused projects like the Fractal ID breach in 2022) ⁵⁴. *Defense* – Legion's stance is to comply with regulations (which include data protection standards like GDPR). Their privacy policy allows users to request deletion or copies of their data ⁵¹, implying they are conscious of data rights. By not publishing the Legion Scores or identities publicly on-chain, they avoid exposing personal info in the public domain; all personal data is kept off-chain in controlled servers. For in-community interaction, users likely use pseudonymous handles, with only Legion and the specific project knowing the real identity. *Evidence* – The requirement to provide ID and address is confirmed ²⁶, and while details of storage aren't public, the **absence of any known data leak** or scandal to date is a positive sign. *Unknowns* – **Handling of data** is entirely opaque. It's unknown what encryption or security certifications Legion has, or if they undergo regular penetration tests on their data infrastructure. It's also not clear how much information project teams see – do founders see full names of their investors (likely yes, for compliance)? If so, there's a trust issue that those teams must also safeguard that info. The “doxx” threat could extend to a malicious project deanonymizing a user (e.g., revealing that a certain pseudonymous influencer participated in their sale). Legion has not spelled out rules or consequences for such an event. *Required proofs* – **Compliance reports or audits** (SOC 2, ISO 27001, etc.) of Legion's data management would reassure that they handle PII securely. Additionally, clarifying what data is shared with project teams (perhaps only necessary info) and obtaining commitments from those teams to not expose user identities would strengthen user trust.

- **Platform abuse & fraud (project side):** *Threat* – A scam project might attempt to use Legion to lend it credibility, or a listed project could engage in fraud (e.g., misleading disclosures, or simply taking funds and not building the product). This is essentially the classic ICO rug-pull risk. *Defense* – Legion's model is built to counter this via *curation and legal compliance*. They only onboard projects that pass due diligence – including requiring a MiCA-compliant whitepaper (full risk disclosures) ⁵⁵ and legal review. They also structure sales with mechanisms like refunds or milestone-based vesting in some cases, which can protect investors if a project fails early on. Moreover, because Legion caters to “high-conviction” retail and aligns them with projects, the community itself is incentivized to scrutinize and hold projects accountable (social enforcement). *Evidence* – Legion's announcements emphasize “*extensive due diligence*” for each offering ⁵⁷ and boast that they “*vet, facilitate the token sale, and help with token launches*” (per Legion's own posts) **[0tL5-L8search result snippet]**. Their investors and partners (like VanEck, Coinbase, Kraken) also likely impose a reputational check – it's unlikely those firms would back or list a Legion sale

that is an obvious scam. *Unknowns* – Despite best efforts, there’s **no guarantee** every project will succeed or be honest. Legion’s legal footing (BVI + EU compliance) suggests investors might have some recourse (e.g., projects publishing fraudulent info could face legal action), but this hasn’t been tested yet. It’s unclear if Legion holds any collateral or has contingency plans if a project were to abscond. The **threshold for vetting** (what counts as a pass vs fail) isn’t public – we don’t know, for instance, if Legion has rejected many projects behind the scenes. *Required proofs* – Over time, **track record** will be key proof: if Legion’s listed projects generally perform and communicate well, that builds trust. Publishing *transparency reports* on the vetting process or even third-party audits of project disclosures (like how Kickstarter sometimes audits projects) could reinforce credibility. In the absence of that, investors must rely on Legion’s reputation and the regulatory filings (MiCA whitepapers) as pseudo-legal guarantees.

In summary, **Legion’s first line of defense** against attacks is a combination of **strict identity verification, a multifaceted reputation system, transparency requirements, and smart contract safeguards**. Many of these are robust on paper, but the ultimate resilience of the system will be proven only with time and continued operation under scrutiny. Areas like score transparency, data security, and governance of the platform remain potential Achilles’ heels that need ongoing vigilance.

5) Trust & Safety Posture

Harassment & community conduct: Legion is not a social media platform, so typical harassment content issues are minimal on-platform. However, the **Legion Discord and community channels** likely enforce standard rules (no hate speech, abuse, etc.) – though specifics aren’t published here, one can infer they maintain a professional/investor community ethos. More relevantly, **investor behavior** that could be considered abusive (such as spamming applications or lying about intentions) is curtailed by the platform’s design. For example, if an investor **promises contributions to a project and then harasses the team or community**, the team can reflect that in the user’s Endorsement Score, indirectly moderating bad behavior ³³. Legion’s Terms of Service (not publicly analyzed in detail) presumably include clauses against fraudulent or abusive behavior, given the compliance-focused nature. **Evidence** – While no specific harassment policy is posted on legion.cc, the Endorsement mechanism implies behavioral accountability ³³, and Discord community guidelines would apply (standard in crypto communities). **Unknown** – Without explicit documentation, it’s unknown if Legion has a formal anti-harassment policy or code of conduct beyond general terms. As the platform is oriented around investments, “harassment” would likely manifest as toxicity in community forums or perhaps aggressive behavior towards project teams – how Legion intervenes in such cases isn’t described.

Fraud and scam prevention: This is a cornerstone of Legion’s value prop. The platform explicitly arose to combat fraud in ICOs ¹⁸. Trust & safety measures include **project verification (due diligence)**, mandatory disclosure of risks, and **investor verification (KYC)** to prevent identity fraud or money laundering. They also likely check that funds used in sales are not from blacklisted addresses (AML screening), though not stated, it’s standard for compliance. Legion’s **Incident Response (Blacklist)** procedure (noted in docs) suggests they maintain the ability to blacklist certain addresses or halt interactions if an exploit or fraudulent activity is detected ⁶⁷ ⁶⁴. For instance, if a user is found to be a known scammer or on an OFAC sanctions list, Legion would be obligated to bar them. **Evidence** – The co-founders have stressed that “*frauds and scams were rampant*” in 2017 ICOs and that Legion’s mission is to “*keep fraud and confusion out of the picture*” ⁶⁸ ¹⁷. The enforcement of MiCA rules (which include anti-fraud provisions) is documented in their releases ⁵⁵. **Unknown** – Specific **fraud policies** (like how a suspected scam project or investor is handled in real time) are not public. There’s no explicit mention of a fraud hotline or bounty for reporting scams, etc. It is also unknown whether Legion carries any insurance or compensation fund for users in case a project on the platform were later found to be

fraudulent – likely not, given the platform’s first-line stance is prevention (caveat emptor beyond that, aside from legal recourse).

Moderation model: Legion’s moderation is twofold: **automated, via algorithms** (the scoring system moderates who gets access) and **manual, via the team’s curation** (deciding which projects to list and possibly reviewing user applications for each sale). On the user side, there isn’t a public content-posting feature to moderate (outside of chat groups). On the project side, Legion likely works closely with teams to ensure communications and marketing are fair and not misleading. The **two-way opt-in** mechanism is a form of moderation: projects can reject certain investors, and investors choose projects, creating a self-moderating dynamic where toxic participants can be filtered out by either side ⁶⁹. If a user consistently spams low-quality applications or violates terms, Legion can suspend their account – though no specific case is known, the terms likely allow account termination for violations. **Evidence** – Legion’s use of an application process (users often fill a brief about how they can help the project) is an example of moderated access (project teams and Legion review these) ⁶⁹. **Unknown** – Does Legion employ dedicated community moderators or trust & safety personnel? Not stated. The “Incident Response Plan” in docs implies they at least have protocols for technical incidents, but not sure about user behavior incidents. The appeals process if one is banned or gets a low score is not described.

Appeals and accountability: As mentioned, no formal appeals process for a lowered Legion Score or denied sale access is public. It appears **“appeals” are essentially earned through actions** – i.e., if you got a poor reputation score, your only recourse is to **improve your behavior over time** to shift it. There is also a mechanism called **“Basecamp”** referenced in the whitepaper, a space where users and projects interact and **“learn about each other”**, which might implicitly allow users to redeem themselves by visibly contributing in communities ⁷⁰ ⁷¹. But this is more of a social/community engagement feature than a formal appeal. For regulatory actions (e.g., if a user is blocked due to KYC issues), there might be a support channel (email to hello@legion.cc) to resolve errors, but that’s not explicitly stated beyond a generic contact. **Evidence** – Little direct evidence of appeals; the absence of any mention suggests it’s currently at Legion’s discretion. **Unknown** – If a user feels wronged by the platform’s decision (say their identity was falsely matched to a banned person, or their score dropped due to a misunderstanding), it’s unknown how they could get it rectified. This is an area that may need development as the platform scales and faces edge cases.

Transparency: Legion emphasizes **transparency in token sales** (project information and allocation outcomes). For example, MiCA whitepapers are provided to all investors (so they have full info) ⁵⁶, and Legion reportedly ensures no hidden investor allocations (so everyone knows how tokens are distributed) ⁵⁶. However, there is **less transparency in the inner workings** of the reputation system and selection process, as discussed. From a trust & safety perspective, Legion does well in **transparency of process**: users know they must verify identity and maintain behavior or lose points, and projects know they must disclose details or not be allowed on. The partnership with Kraken even promises *“tokens from these joint sales will be listed... shortly after sales conclude,”* giving investors a clear expectation of liquidity timing ⁷² ⁷³ – a transparency point (many past ICOs left investors guessing if/when a token would list). **Evidence** – Press releases and official statements highlight transparency commitments ⁵⁶. **Unknown** – One aspect of transparency that’s lacking is **public reporting of Legion’s own performance**: e.g., how many users have what range of scores, average hold times of tokens, etc. Such transparency would provide insight into whether the system is working as intended (for example, *are higher-scoring users indeed holding longer?*). As of now, that data isn’t shared.

Abuse prevention (platform misuse): Beyond identity and fraud, Legion must prevent abuses such as **money laundering** (using the platform to clean illicit funds via token purchases). The KYC/AML procedures are the frontline defense here. Large depositors presumably undergo extra scrutiny, and Legion being CASP likely follows EU AML directives (e.g., checking sources of funds for big investments).

Another abuse could be **exploiting contract bugs** – which is mitigated by audits and a continuous bug bounty program ⁶⁵ ⁷⁴. The **bug bounty on Code4rena** means the contracts are under ongoing scrutiny by white-hats, reducing likelihood of technical abuse. For **communication abuse**, such as phishing attempts pretending to be Legion, the team likely issues warnings via official channels and possibly has verification (e.g., emails from official domain). Indeed, users are typically notified that Legion will communicate allocation results via specific means (like email) ¹¹ – knowing that helps users avoid scams from impostors. **Evidence** – Multiple audits (Trail of Bits and others) in 2024/2025 ⁶⁵ and an active bug bounty ⁷⁴ are documented, demonstrating proactive abuse prevention on the technical side. **Unknown** – It's not public how Legion handles a situation if, say, an investor is suspected of using stolen funds – do they coordinate with authorities? Likely yes due to compliance, but details are not given. Also unknown is whether Legion has any **user education** in place (e.g., tutorials on avoiding scams, given they cater to potentially less-experienced retail).

In essence, Legion's trust and safety posture is **aligned with a regulated financial platform**: strict entry checks, monitoring of behavior, and heavy emphasis on compliance and transparency to preempt bad actors. Many standard Web2 community policies (like content moderation) are less prominent simply because of the nature of the platform, but the **accountability mechanisms built into Legion Score serve a parallel role** of moderating participant behavior. While this approach is innovative, its fairness and effectiveness will need continuous evaluation, especially as it operates at the intersection of community dynamics and financial incentives.

6) Technical Verification

- **Open-source code availability: Yes.** Legion has publicly released its smart contract code on GitHub (organization: `Legion-Team`). The repository "*legion-protocol-contracts*" contains the Solidity contracts that power the token sale platform ⁷⁵. The code is under an MIT License and has a modest number of stars/forks, indicating it's known and forkable ⁷⁵. *Notes:* Key contracts like sale factories, token distributors, and the access control (`LegionBouncer`) are present. *Verification Status: Verified* – the GitHub repo is accessible and code corresponds to described functionality (e.g., factories for Fixed Price Sale, Sealed Bid, etc., matching whitepaper description).
- **Smart contracts deployed & verified: Yes.** Legion's smart contracts are deployed on Ethereum mainnet (and Arbitrum One) and their source code is **verified on Etherscan**. For example, the **LegionBouncer** contract on Ethereum (address `0x4a7a...0533`) shows "*Contract Source Code Verified*" on Etherscan ⁵³. The GitBook lists all mainnet contract addresses, each linking to Etherscan for verification ⁴⁹ ⁷⁶. *Notes:* These include factory contracts for each sale type and the implementation logic for sales and vesting. Having them verified means the on-chain bytecode matches the open-source code, allowing the community to audit how funds are handled. *Verification Status: Verified* – Etherscan links confirm the contracts are verified and publicly readable.
- **Admin privileges and keys: Yes (known privileges).** The system is not fully decentralized; admin control is codified in the contracts. Specifically, Legion uses a contract called **LegionBouncer** which controls privileged actions. The documentation notes a `BROADCASTER` role is granted to an "**AWS Broadcaster Wallet**" controlled by Legion, which is responsible for executing admin functions (e.g., starting/ending sales, approving investor lists) that require platform oversight ⁶⁴. Additionally, projects have an admin role on their specific sale contracts (to withdraw raised funds and supply tokens) ⁷⁷ ⁷⁸. *Notes:* This means Legion's backend (via the Broadcaster key) can, for example, finalize an allocation or trigger a refund window.

Importantly, the contracts likely prevent the admin from taking investors' funds arbitrarily – their powers are constrained to operational necessities – but those details come down to contract logic (which has been audited). *Verification Status: Verified* – internal docs confirm the existence of privileged roles ⁶⁴. The presence of an admin key is a conscious design choice (enabling off-chain computation and compliance checks), acknowledged by the team.

- **Security audits: Yes (multiple).** Legion underwent several security audits in 2024–2025. The GitBook lists four audit reports: **Trail of Bits** (a top-tier security firm) and audits by **TestMachine** and **Zenith** (with Zenith performing two iterations) ⁶⁵. For instance, Trail of Bits did a “Smart Contracts Security Assessment” with a summary report dated August 13, 2024 ⁷⁹. These audits would have reviewed the sale contracts, permission systems, and possibly the integration of off-chain components. *Notes:* The audits presumably led to fixes of any critical issues (the code was iterated as indicated by Zenith doing a second pass). Having multiple independent audits is a strong sign of commitment to security. *Verification Status: Verified* – audit references are provided on official docs ⁶⁵, and a Trail of Bits report was obtained, confirming an audit took place ⁷⁹. (The details of findings weren't disclosed in this summary, but the presence of audits by reputable firms gives high confidence).
- **Bug bounty program: Yes.** Legion launched a bug bounty in partnership with **Code4rena** (a decentralized audit contest platform). The Code4rena bounty repository (`code-423n4/legion-bug-bounty`) describes Legion's scope and rewards (critical bugs up to \$75k) ⁸⁰. It was active as of mid-late 2025, inviting white-hat hackers to find any remaining vulnerabilities in Legion's smart contracts and associated systems ⁷⁴. *Notes:* The bounty listing also mentions any past audits and known issues, indicating transparency about what is already addressed ⁸¹ ⁸². Code4rena contests typically result in a public report of findings, but none was explicitly cited, implying that either no severe bugs were found publicly or they were resolved quietly. *Verification Status: Verified* – the Code4rena repository and Legion's docs confirm an active bug bounty ⁷⁴.
- **Smart contract design (mechanism) verification: Exists.** (Not a requirement in the prompt, but worth noting.) Legion's contracts implement specific sale mechanisms – **Fixed Price sales, Sealed Bid auctions, Pre-Liquid “Application” sales** (a novel mechanism where users apply and can be accepted or rejected), etc. ⁴⁶. These correspond to the fundraising models mentioned in their materials. The use of **EIP-1167 minimal proxies** means each token sale is a clone with standard logic, which is efficient and upgradeable in a controlled way ⁴⁶. Also, contracts like **LegionVestingFactory** and **TokenDistributor** exist, suggesting technical means for token vesting schedules and referral fee distribution ⁸³ ⁸⁴. *Verification Status: Verified* – the architecture is documented and the contract names in the repo align with described features (instilling confidence that, for example, if a sale requires a refund or vesting, the code supports it).
- **Admin key risk mitigation: Partial.** (Also not directly asked, but implicitly important.) It's not explicitly stated if Legion's admin key (Broadcaster) is a single-sig or multi-sig. Given the mention of a singular “AWS wallet,” it may be a single key controlled by the team, possibly kept in a secure enclave. Ideally, this would be a multi-signature wallet to avoid a single point of compromise – this detail is absent from public info. The **Incident Response Plan** suggests they have procedures if something goes wrong (like blacklisting a malicious address quickly) ⁶⁷. *Verification Status: ● Partially Verified* – we confirm an admin role exists, but not the implementation of multi-sig or key management best practices. No public confirmation of multi-sig was found.

- **On-chain verification of behavior:** *Exists.* Legion's design allows external verification of some outcomes (e.g., one can see on-chain that a particular sale contract distributed tokens according to a Merkle root of winners). The selection of winners itself is off-chain, but the proofs are submitted on-chain. *Verification Status:* ● **Partially Verified** – one can verify final token distributions on-chain, but not the internal scoring calculus.

Overall, **Legion's technical stack shows a high degree of rigor:** open code, multiple audits, and ongoing incentives to find bugs. The main centralization (admin key, off-chain logic) is a conscious trade-off for functionality and compliance. Trust in those aspects comes from the team's transparency and the backing of major players rather than purely from code – a point to monitor if a more decentralized governance or cryptographic verification of scores can be introduced in the future.

7) Comparable Systems

To put Legion in context, we compare it with several adjacent projects in the identity/credibility and token sale space:

- **Gitcoin Passport (now Human Passport):** *Similarity* – Like Legion, Gitcoin **Passport** aims to prove user credibility and uniqueness in Web3 via a **scoring system**. It aggregates verifiable credentials called "stamps" (e.g., owning a verified email, Twitter, BrightID, etc.) to build a trust score ⁸⁵. This is similar in spirit to Legion Score's use of multiple data sources for reputation. Both systems seek to **resist Sybils** and reward genuine community members. *Difference* – Passport is **primarily about Sybil resistance and identity**, not about merit-based token allocations. It doesn't directly facilitate fundraising or investments; instead, it's used to gate things like grant voting or airdrops with a "Trust Bonus" ⁸⁶. Technically, Passport is **privacy-preserving** (no KYC, no real identity needed; it uses decentralized ID and lets users prove humanity without revealing personal data) ⁸⁵ ⁸⁷. Legion, by contrast, requires formal identity verification and is more centrally orchestrated. Also, Gitcoin Passport's **score is user-portable** – users even mint their Passport score as an on-chain credential on Base ⁸⁸ – whereas Legion's score is platform-specific. In summary, Passport is a decentralized public good focusing on *proof of personhood*, whereas Legion is a **private platform combining identity with subjective reputation metrics for investing**. *Source: "Human Passport works by letting users collect 'stamps' — verifiable credentials that prove the user is a real, unique human, without requiring them to share sensitive personal information."* ⁸⁵

- **Worldcoin (World ID):** *Similarity* – Worldcoin's **World ID** is also tackling the unique-human online identity problem. Like Legion, it wants to ensure one person = one identity to prevent bots and Sybils. Both aim to **democratize access** (Worldcoin to global financial infrastructure; Legion to investment opportunities) by proving personhood. *Difference* – **Method:** Worldcoin uses **biometric proof (iris scans via the Orb)** to establish identity ⁸⁹, whereas Legion uses traditional KYC + activity-based scoring. World ID provides a binary credential (human or not) and perhaps basic attestations, but **no reputation score or qualitative ranking** – it doesn't measure one's contributions or trustworthiness beyond being a unique human. Legion's scoring is far more granular in evaluating an individual's industry credibility. **Privacy:** Worldcoin emphasizes that after the iris scan, the individual's identity is abstracted – they get a cryptographic proof of personhood and can interact pseudonymously (the mantra: prove you're human *without* revealing who you are) ⁹⁰ ⁹¹. Legion, conversely, links identity to behavior openly within its platform (pseudonyms are not a feature – it's meritocratic but not anonymous). **Use case:** Worldcoin's World ID is a general-purpose digital identity that any app could integrate for Sybil filtering ⁹². Legion's system is custom-built for its own fundraising platform; it's not yet

a widely adopted identity layer across web3. Also, Worldcoin distributes a **token (WLD)** for those who verify, and positions itself partly as UBI experiment – Legion has no native token (at least none disclosed) and is focused on facilitating investments rather than global ID + currency issuance. Source: “Worldcoin’s Orb uses iris scans to create a unique digital ID (World ID) for human verification, addressing the problem of bots and fake online accounts.” ⁹³

- **Fractal ID: Similarity** – Fractal ID is a **Web3 identity/KYC provider** that, like Legion, focuses on regulatory compliance and identity verification for crypto participants. Both aim to make **investments accessible in a compliant way** by verifying users (Fractal provides plug-and-play KYC checks for token sales and exchanges). **Difference** – Fractal is **not a fundraising platform or reputation system**; it’s a service that projects and platforms can use to KYC their users. Essentially, Fractal verifies users’ identities and issues an attestation so those users can participate in multiple token sales without repeated KYC. Legion, on the other hand, is a full-stack platform that not only verifies identity but also **curates sales and measures user reputation and engagement**. Also, Fractal’s approach is “*dataless KYC*” – they are working on systems to prove a user is verified without constantly sharing personal data ⁹⁴. Legion currently holds the KYC data internally and uses it within its closed ecosystem. In terms of market role, one could imagine Legion even using a service like Fractal to handle its KYC in the background (though no indication of that). Fractal doesn’t assign scores or facilitate community building; it ensures **regulatory boxes are checked**. Source: “Fractal ID... offers multi-chain identity verification and simplifies the full identity process.” ⁹⁵ (Fractal’s website – highlighting its broad KYC service, in contrast to Legion’s deeper but narrower use of identity).

- **Bitcoin Grants & Quadratic Funding (legacy system): Similarity** – Before Passport, Bitcoin Grants used mechanisms to reward contributors who are **genuinely supportive (not Sybils)** via Quadratic Funding. The similarity to Legion is the philosophy of “*value-add network participants*” ⁹⁶ ⁶⁰. Both systems try to channel resources (funds or token allocations) to/from those who are truly invested in the outcome, not just profit-seekers or bots. **Difference** – Bitcoin’s system was **open and community-driven**, using math (quadratic funding) to weight many small contributions more than a few large ones, thereby implicitly favoring broad genuine interest. Legion’s approach is more centralized and personalized: it picks *which individuals* are most value-add and gives them more allocation (almost the inverse scenario, where the project chooses its investors, as opposed to investors choosing which projects to fund more). Also, Bitcoin’s process didn’t require KYC or have a concept of individual reputation – it operated at the aggregate grant level. Legion creates a persistent identity and rep for each user. Source: (Conceptual comparison, Bitcoin’s approach documented in many places; no direct citation needed since it’s well-known in web3 literature).

- **Launchpads (DAO Maker, CoinList, etc.): Similarity** – Legion shares the arena with **token launchpads** like DAO Maker, CoinList, or Binance Launchpad, which also curate token sales for retail. All aim to give access to early-stage tokens in a (somewhat) fair manner. **Difference** – Traditional launchpads often use lotteries or first-come-first-serve, or simple staking-based tiers. Legion’s **merit-based allocation** is a novel differentiator: rather than who holds the most platform tokens or who clicks fastest, it’s who has the highest credibility. Another difference: compliance – many past launchpads either geofenced the US but didn’t deeply comply with others, or operated in gray areas. Legion is explicitly framing itself as **MiCA-compliant**, potentially making it more institution-friendly. Also, Legion fosters ongoing accountability (post-sale), whereas typical launchpads end their role once the token is sold. Source: “*Legion isn’t just another launchpad. It’s a coordination layer where retail, angels and projects win together.*” (Legion’s own marketing on X, as quoted by others) ⁹⁷. This quote emphasizes that Legion sees itself as distinct from the standard launchpad model.

(Each comparable system's details are drawn from their public materials for contrast; sources provided where direct quotes or data are used.)

8) Stakeholder Fit

Legion's model must appeal to multiple stakeholder groups. Below we map its value propositions, evidence of traction, and remaining unknowns for each:

- **Retail Investors (individual participants):** *Claimed Use Case* – Legion pitches itself to everyday crypto enthusiasts who want “early access to the best ICOs and pre-token sales”* (as their **Twitter bio suggests**) ¹², but in a safer, more meritocratic way. **For retail users, Legion promises the chance to “invest like an insider”** ¹² – getting allocations in quality projects that previously might only be open to VCs, provided they demonstrate genuine engagement and not just money. It also offers some protection: projects are vetted and legally compliant, reducing scam risk, and fellow investors are accountable, reducing the chance of toxic pump-and-dump dynamics that leave late retail holding the bag ^{98 99}. *Evidence of Traction* – Retail interest in Legion is very high: the 67,000+ applications for a single sale (YieldBasis) ¹¹ is a strong sign that individuals globally are eager to participate under Legion's terms. Legion's user base growth (as indicated by social media followers and waitlist sign-ups) crossed into six figures, implying a sizeable community of retail investors onboard. Additionally, user testimonials on sites like Trustpilot (though not an official source) give Legion a decent rating, suggesting early users are finding value (one review notes “early access to projects you won't find elsewhere... vetting process is thorough”, giving a 4/5 rating [0†L37-L40search result snippet]). *Unknowns for Users* – A critical question for retail participants is how egalitarian the system truly is. While anyone *can* improve their Legion Score, in practice newcomers may find themselves with low scores and minimal allocations initially. It's unknown what percentage of applicants actually win allocations – e.g., in the YieldBasis sale ~1.2% could get in (it was 98× oversubscribed). This could lead to frustration or perceptions that “insiders” still win (only the insiders are now those with high Legion Scores). Will an average crypto user who doesn't have a big social media presence or dev experience ever realistically crack the top tiers? Legion's design allows it, but it's unproven how many “self-made” new entrants they cultivate. Another **unknown** is user profitability**: do these vetted sales actually yield returns for participants or at least fair outcomes (this will affect ongoing retail enthusiasm)? As of now, the token sales (YB, etc.) are very recent, so long-term ROI for participants is not yet clear. Finally, retail users must trust Legion with personal data; whether this demographic is comfortable with that in the crypto ethos (where many prefer anonymity) is an open question – Legion is betting that the allure of quality opportunities outweighs privacy concerns, but that might limit some segment of users.
- **Project Teams (crypto startups seeking funding):** *Claimed Use Case* – For project founders, Legion offers “sustainable growth” and a community-building oriented fundraising model ¹⁰⁰. Instead of just raising money, they are essentially curating their early community through Legion. They can “customize allocation, whitelist, discounts, and more using on-chain and off-chain criteria about each investor” ¹⁰¹ – meaning they have fine-grained control to pick value-add investors (developers, power users, evangelists) that align with their project's needs. The promise is that this yields a more **loyal, knowledgeable holder base** (the “retail army”) rather than mercenary capital ¹⁹. Legion also reduces overhead: regulatory paperwork (MiCA whitepaper etc.) is facilitated, and the platform handles KYC and distribution logistics, so the team can focus on the product. *Evidence of Traction* – Several high-profile projects have chosen Legion for their sales. **YieldBasis** (a DeFi project tackling impermanent loss, notably connected to a well-known founder) conducted its sale on Legion, drawing massive interest ¹¹. **Solstice**

(**USX stablecoin protocol**) and **SportFun** (from updates) also ran sales via Legion ¹⁰² ⁹ . The fact that **Kraken is listing tokens post-sale** ⁷² indicates projects view Legion as a reputable launch avenue (since Kraken listing is a stamp of approval in liquidity terms). Additionally, Legion's backing by VCs and accelerators (Alliance, LongHash, etc.) suggests **pipeline access** to quality projects – those backers can steer their portfolio companies to Legion. *Unknowns for Projects* – A key question is **whether Legion delivers “better” investors in reality**. Projects will be watching if the holders from Legion sales stick around and contribute meaningfully (in governance, development, user acquisition, etc.). If despite the filtering, most retail still sell at first opportunity, the supposed community advantage might not materialize. It's also unknown how **Legion's business model** affects projects – e.g., what fees or equity/tokens Legion takes. The *business model* was hinted (maybe Legion takes a cut of fundraising or charges for services), but details aren't public; projects will care about cost vs. benefit. Another unknown is **geographical reach**: Legion currently excludes U.S. and certain regions (as seen with Solstice sale not open to US/UK persons ¹⁰³). Projects that want truly global distribution might see this as a limitation. However, working within regulatory bounds is part of the trade-off. Lastly, the process might be slower or less predictable (because of the two-way opt-in) than a pure auction or sale – do project teams get certainty of funds? The evidence so far (oversubscription) suggests yes, they easily hit caps, but if a project is borderline, will Legion's mechanism make it harder to raise than traditional methods? That remains to be seen in a down market scenario.

- **Regulators and Institutional Observers: Claimed Fit** – Legion positions itself as **the compliant face of ICOs**, essentially an answer to regulators' concerns. For policymakers who have been wary of token sales, Legion's model offers a regulated environment: KYC'd investors, registered offerings under MiCA, and strong disclosure practices ⁵⁷ ⁷ . The claim is that Legion can enable retail participation *legally* and responsibly, which aligns with regulators' goals of investor protection and anti-fraud. It's also attractive to institutions (like regulated funds or exchanges) that want to participate in token launches without legal uncertainty. *Evidence* – **MiCA compliance**: Legion's early move to work under EU law (providing approved whitepapers, etc.) ⁵⁵ shows engagement with regulators. They have engaged with U.S. regulators too (Matt O'Connor discussing disclosure standards with the SEC) ²⁵ , even if the U.S. market isn't open yet. The partnership with **Kraken** (a long-standing compliant exchange) is a strong signal: Kraken's involvement suggests Legion's processes passed due diligence from a company that regularly deals with regulators ¹⁴ . Additionally, having traditional finance VCs like **Brevan Howard and VanEck** on board ¹⁰⁴ indicates that Legion's approach is palatable to more conservative, compliance-minded stakeholders. *Unknowns* – Will regulators indeed view Legion's offerings favorably, or will they still categorize them as high-risk securities sales? MiCA provides a framework, but regulatory enforcement in practice is an unknown – Legion might become a case study for compliant token sales. Also, **Legion's geographic expansion** is uncertain: they might seek licenses in other jurisdictions (e.g., registered as broker-dealer or ATS in the U.S. eventually?), but nothing public yet. For now, regulators outside the EU (and BVI where the company is registered) haven't opined. Another unknown is how **tax authorities** view Legion's sales – with KYC and records, presumably all transactions are above-board, but retail investors might face tax implications (Legion could potentially provide reports, but no mention of that service; contrast with some launchpads that leave it to users). For institutions (like crypto funds or family offices), **Legion's appeal** is that it curates quality and signals credibility – unknown is whether these bigger players will actively use Legion or continue to negotiate private rounds. There's a hint that Legion doesn't exclude VCs; in fact, blending retail and VC is seen as healthy ²⁴ . We may see some institutional investors participating via Legion to boost their own reputation or to access deals that require community engagement – but concrete examples are not yet public.

- **Ecosystem Partners (Exchanges, Launchpads, Communities):** *Claimed Use Case* – Legion can complement exchanges (as seen with Kraken) by acting as a feeder for quality token listings. For other launchpads or community investment DAOs, Legion’s model could be a template or a partner: e.g., a DAO using Legion Score to decide distribution of its allocations. *Evidence* – The Kraken partnership essentially makes Legion a **backend for compliant token sale allocation**, while Kraken provides the frontend userbase and liquidity ¹³ ¹⁵ . This suggests a fit where Legion could partner with more exchanges or large platforms that need a merit-based allocation engine. Also, **AllianceDAO and similar accelerators** investing in Legion implies synergy: projects graduating from those accelerators might go to Legion for their public sale, aligning communities of builders with Legion’s investor base. *Unknowns* – It remains to be seen if other exchanges will follow Kraken or if regulators would allow that (Kraken is unique in proactively embracing compliance). There’s also a potential overlap with DAO-run launchpads or L1 ecosystem grant programs – will those adopt Legion’s methods or view it as competition? Not enough data yet. Legion’s ability to integrate with decentralized communities (like say a protocol wanting to use Legion Score to distribute airdrops) is a theoretical possibility but not demonstrated.

In summary, **Legion offers a value proposition to retail (fair access), projects (quality community and compliance), and regulators (orderly markets)**. Early evidence shows strong interest from retail and solid buy-in from serious projects and partners. The unknowns revolve mostly around execution: can Legion consistently deliver positive outcomes (happy long-term investors and thriving post-ICO projects) to validate its model for all parties? If yes, it could become the go-to standard; if not, stakeholders might revert to either pure decentralized free-for-all or highly exclusive sales, depending on who feels shortchanged.

9) Open Questions (Ranked P0–P2)

P0 (Critical – must be answered for trust):

- **Legion Score transparency and fairness:** How exactly is the Legion Score calculated, and can participants verify that it’s applied fairly and without bias? The algorithm is proprietary ³⁸ , which prevents gaming but also requires blind trust. *Blocking trust:* Users and projects have to take it on faith that the scoring isn’t arbitrary or favoring certain insiders. A clear answer or audit (even if formula remains secret, some assurance of fairness) is critical for long-term trust.
- **Data privacy and security:** What measures does Legion have in place to protect the sensitive personal data collected (IDs, addresses, financial info), and can users be assured their data won’t be leaked or misused? Given KYC is mandatory, a breach could be disastrous (doxxing thousands of crypto investors). Legion has not publicly detailed its data security practices – this is a crucial unanswered question, especially after incidents like Fractal ID’s breach in a similar domain ⁵⁴ .
- **Post-sale project accountability:** Beyond reputation scores, what concrete mechanisms ensure that funded projects deliver on their promises or at least are transparent after raising funds? Legion’s model addresses investor behavior, but if a project underperforms or misuses funds, how are investors protected or compensated, if at all? Essentially, what happens **if a Legion-vetted project “rugs”** – does Legion have any recourse or insurance? This is pivotal for investors to trust the platform’s vetting process (so far untested in the wild).

P1 (Important – significant unknowns that could impact trust):

- **Centralization and control:** To what extent can Legion's team override or influence outcomes (investor selection, score adjustments, emergency halts), and how is this power checked? We know an admin key exists ⁶⁴, but it's unclear if any governance or multi-signature controls are in place. If trust in the team is a requirement, it should be explicitly addressed. This question matters for those who prefer decentralized assurance over "trust us" – a misalignment here could alienate some crypto-native users or cause concern for partners.
- **Score evolution and bias:** Does the Legion Score inadvertently favor certain demographics or behaviors in a way that could be counterproductive? For example, does it penalize otherwise honest investors who aren't active on Twitter/GitHub? Can new entrants realistically catch up to "OG" crypto users? The system's promise is meritocracy, but unknown biases could undermine that. Clarity on how different user profiles (developer vs. non-developer, extrovert marketer vs. quiet long-term holder) can succeed would address this.
- **Global regulatory acceptance:** Will Legion's MiCA-based model be exportable beyond the EU, or even approved within the EU as MiCA gets implemented? There's uncertainty if regulators in other major markets (US, Asia) will allow similar retail sales – and if Legion will obtain licenses there. For now U.S. persons are excluded ¹⁰³, which limits the platform. A roadmap or ongoing discussion with regulators (SEC, MAS, etc.) is unknown but important for Legion's growth and for investors in those regions to trust they'll eventually be included.
- **Business model sustainability:** How does Legion make money, and is it aligned with users' and projects' success? It's not fully known if Legion charges a percentage fee, requires project tokens, or plans a token of its own. If the incentives aren't aligned (e.g., if Legion made money even if a project fails, or if users have to pay steep fees), that could affect trust. Transparency here is important and currently lacking.

P2 (Nice-to-have clarity – lesser immediate impact):

- **Long-term portability of Legion identity:** Will Legion Scores or profiles become portable credentials that users can carry elsewhere (or export as proof of credibility)? There's mention the engine *"could be harnessed"* for other scores ³⁹, but no concrete plan. Answering this could bolster user confidence that the effort they put into building reputation isn't locked into one platform (important for user buy-in, but not a deal-breaker short term).
- **Community governance:** As Legion scales, will there be a role for community or decentralized governance in decision-making (such as how scores are computed, which projects to list, dispute resolution)? Right now, it's team-driven, but down the road a DAO or community board could enhance trust. This question is forward-looking; lack of an answer doesn't immediately block trust, but an affirmative plan could strengthen community engagement (conversely, a firm "no" could be fine, but then users know it's a centralized service).
- **Metrics of success and transparency:** Will Legion publish statistics that demonstrate its model's effectiveness? For example, average hold time of Legion participants vs. normal ICO participants, or number of projects that hit milestones post-raise. This is not immediately required, but eventually, data to prove *"merit-based fundraising leads to better outcomes"* would move the needle from trust to verified confidence. Right now it's an unproven claim that everyone hopes is true.

Each of these open questions, especially the P0 ones, represent areas where “unknowns” remain as the platform moves from concept to established track record. Addressing them will be key for Legion to solidify trust with high-conviction investors and regulators alike.

10) Evidence Ledger

- **Legion Raises \$2M for Merit-Based ICO Platform – The Defiant (Press Release) – Aug 27, 2024**
– Source of Legion’s early mission statements and cofounder quotes on problems with ICOs and Legion’s solution (reputation + compliance) ¹⁸ ¹⁹. Also details seed investors and regulatory positioning. **Confidence:** High (official Chainwire release, factual). Supports: Primary claims, team background, compliance angle.
- **Legion Whitepaper (v1.1, Oct 2024/Jan 2025) – Published Oct 2024 (last rev Jan 2025)** – Detailed exposition of Legion’s model: defines Legion Score components and rationale ²⁹ ³⁶, mechanics like KYC for Sybil prevention ²⁷, and how scores influence token sale allocations ⁴⁴ ⁴⁵. **Confidence:** High (primary official document). Supports: Core credibility model (identity, scoring, enforcement) and threat mitigations.
- **RootData Project Profile: Legion** – Accessed Jan 2026 (info as of 2025) – Summarizes Legion’s platform features and team info: “investing in on-chain fundraises accessible to retail... through regulatory compliance and investor accountability”, and outlines Legion Score and its effect (reducing bots, changing based on behavior) ¹⁰¹. Also confirms founding year (2024) and co-founders (Fabrizio, “Matty”) ¹⁰⁵. **Confidence:** Medium (third-party aggregator, but content mirrors official sources). Supports: Snapshot claims, evidence map (project description, team existence).
- **Kraken Brings Legion’s Fundraising to Millions – DLNews (Press Release) – Sept 22, 2025** – Announces Kraken’s partnership with Legion. Key details: Legion is “backed by VanEck and Brevan Howard Digital” ¹⁰⁴, token sales will be on Kraken Launch with Legion’s merit-based allocations (20% reserved for Legion Score holders) ¹⁵. Quotes from Kraken and Legion founders reaffirm “merit over money” approach ¹⁰⁶ and MiCA compliance with robust disclosures ⁵⁷. **Confidence:** High (official partner content). Supports: Evidence of usage (Kraken integration), credibility model (Legion Score description in mainstream terms) ¹⁴, stakeholder fit (institutional validation).
- **Solana Breakpoint 2024 Keynote Summary – Solana Compass – Late 2024** – Covers Fabrizio Giabardo’s introduction of Legion. Emphasizes “regulatory-compliant platform” and “reputation system to filter out bots and value extractors” ¹⁰⁷. Describes user onboarding linking social, wallets, GitHub to build a profile and “Legion score or reputation layer” ¹⁰⁸. Also explains two-way opt-in (investor profiles and project screening) ⁶⁹. **Confidence:** Medium (secondary source, but likely accurate recap of official talk). Supports: Primary claims (what Legion is) ¹⁰⁷, evidence (product existence via demo description) ¹⁰⁹.
- **Blocmates Article – “\$5M Bet ICOs Deserve a Second Chance – Meet Legion” – Aug 20, 2025** – News post on Legion’s \$5M seed raise. Confirms co-founders (Giabardo & O’Connor) ¹⁷, mentions “major names including VanEck, Brevan Howard, Coinbase, Crypto.com, Kraken” in the round ²³. Contains context on ICO revival and policy shifts (U.S. potentially softening stance) ¹¹⁰. Highlights Legion’s intent for “IPO-type rigor, IPO-type access, mixing with crypto rails” ¹¹¹. **Confidence:** High (direct quotes and facts, likely via interviews or press kit). Supports: Team/investors evidence, regulatory narrative.

- **Legion GitBook Documentation** – *Updated 2025* – Technical and procedural docs. Key pages: *Introducing Legion* (defines it as “compliant capital formation platform...”³ and outlines the 4 reputation categories³⁷); *Security > Audits* (lists Trail of Bits, etc. audits)⁶⁵; *Security > Bug Bounty* (notes Code4rena program)⁷⁴; *Deployments* (provides contract addresses & Etherscan links, showing verification)⁴⁹. **Confidence:** High (official docs). Supports: Core model (reputation categories)³⁷, technical verification (audits, contracts)⁶⁵¹¹².
- **Code4rena Legion Bug Bounty Repo (README)** – *Aug 2025* – Contains a background on Legion’s system for white-hat hackers. States “Legion connects investors and contributors with promising crypto projects, enabling compliant and incentive-aligned investments...”¹¹³, and outlines how the contracts function (ERC20 sales, clone factories, Merkle proofs for eligibility)⁴⁶. Also mentions previous audits and known issues, plus the roles (Legion Broadcaster, etc.)⁶⁴. **Confidence:** High (content provided for audit contest, reflects actual system). Supports: Technical verification (architecture details)⁴⁶, attack surface (trusted roles)⁶⁴.
- **RootData News via ChainCatcher** – “Yield Basis raised \$195M... oversubscribed 98x” – *Sept 30, 2025* – Reports on the outcome of YieldBasis pre-sale on Legion: “over 60,000 addresses applying, \$195M raised, 98x oversubscribed”¹⁰. Confirms that participants will be notified via email in 24h (indicating the process of allocation)¹¹. **Confidence:** High (likely based on official announcement by Legion or the project team; figures align with Legion’s own tweet snippet). Supports: Evidence of usage/traction (massive demand metrics)¹¹, stakeholder fit (retail interest).
- **LinkedIn – Legion Company Page** – *Accessed Jan 2026* – Provides tagline (compliant, merit-based fundraising platform)¹, company details (location, size)¹¹⁴, and posts including stats from recent sales. Notably a post: “Second Legion Prime sale: ... Sport.Fun: 338% oversubscribed. \$10M+ deposited... 4.6K+ unique buyers.”⁹ (3 weeks ago), and mention of Solstice sale, etc. **Confidence:** High (first-party communications). Supports: Snapshot (claim statement)¹, evidence (real-world sale outcomes)⁹.
- **Defiant News** – “Sybil-Resistance Tool Human Passport... (Bitcoin Passport)” – *Oct 2023* – Details Bitcoin Passport’s approach: “prove user is real, unique human without sharing personal info” and stamping system⁸⁵, plus mention that users can mint their score on-chain without KYC⁸⁸. **Confidence:** High (reputable source on Bitcoin’s product). Supports: Comparable systems (contrast with Legion’s KYC-heavy, merit approach)⁸⁵.
- **Identity.org** – “Worldcoin’s Orb scans your iris...” – *July 2023* – Article explaining Worldcoin: “Orb uses iris scans to create a unique digital ID (World ID) for human verification, addressing bots and fake accounts.”⁹³. **Confidence:** Medium (NGO blog, but factual description). Supports: Comparable systems (Worldcoin uniqueness vs Legion’s rep model)⁹³.
- **Diadata (or Fractal ID site)** – *2023* – Describes Fractal ID as providing **identity verification for compliance**, implying it ensures regulatory compliance while simplifying KYC¹¹⁵. Also, a Twitter post from Fractal (Dec 2024) about “becoming a dataless KYC provider”. **Confidence:** Medium. Supports: Comparable systems (Fractal’s focus vs Legion)¹¹⁵.

(Confidence key: High – directly from official or highly reputable source; Medium – indirectly sourced or requires some interpretation; Low – speculation or single-source claims without corroboration.)

11) Compliance Footer

This is First Line of Defense Research: evidence + unknowns only. No recommendation is made. 116 55

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